

26STCV08469 26STCV08469

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Case Number: 26STCV08469 Hearing Date: September 1, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

JIANGSU GUOTAI INTERNATIONAL GROUP GUOMAO
CO., LTD,

Plaintiff,

vs.

TRUE CLASSIC TEES LLC, et al.,

Defendants.

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CASE NO.: 26STCV08469

[TENTATIVE] ORDER DENYING MOTION TO COMPEL
ARBITRATION

Dept. 506

8:30 a.m.

September 1, 2026

On March 16, 2026, Plaintiff
Jiangsu Guotai International Group Guomao Co., Ltd filed this action against Defendant
True Classic Tees LLC and others.

On
April 2, 2026, Defendant filed a motion to compel arbitration.

All
evidentiary objections are overruled.

DISCUSSION

When seeking to compel arbitration
of a plaintiff's claims, the defendant must allege the existence of an agreement
to arbitrate. (Condee v. Longwood Management
Corp. (2001) 88 Cal.App.4th 215, 219.)

The burden then shifts to the plaintiff to prove the falsity of the agreement. (Ibid.) After the Court determines that an
agreement to

arbitrate exists, it then considers objections to its enforceability. (Ibid.)

The Court must grant a petition

to compel arbitration unless the defendant has waived the right to compel arbitration

or if there are grounds to revoke the arbitration agreement. (Ibid.; Code Civ. Proc., § 1281.2.) Under California law and the Federal Arbitration

Act, an arbitration agreement may be invalid based upon grounds applicable to any

contract, including unconscionability, fraud, duress, and public policy. (Sanchez v. Western Pizza Enterprises, Inc. (2009) 172 Cal.App.4th 154, 165-166.)

A. Background Facts

The parties do not dispute

the existence of an Arbitration Agreement.

They disagree over its interpretation and applicability to claims.

In 2024 and 2025, Defendant

purchased shirt from Plaintiff pursuant to purchase orders valued in excess of \$8,000,000. (Complaint ¶ 15.) Those purchase orders included an Arbitration

Agreement. (See Complaint, Ex. 1.) Defendant paid approximately \$1,569,000 and failed

and refused to pay the balance of \$4,534,000 due to Plaintiff for the subject goods

asserting that some were defective. (Complaint

¶ 23.)

Defendant filed a demand for

arbitration in December 2025 (JAMS Reference Number 5220011888). (Complaint ¶ 27 & Ex. 1.) Defendant alleged (1) breach of contract, (2)

breach of express warranty, (3) breach of contractual and implied warranty of merchantability,

(4) negligent misrepresentation, (5) contractual indemnity, (6) equitable indemnity,

and (7) declaratory relief.

In this action, Plaintiff

seeks (1) declaratory relief, and (2) preliminary and permanent injunctions. Specifically, "An actual and justifiable controversy has arisen and exists between Plaintiff and Defendant True Classic Tees in that

Defendant True Classic Tees contends that its claims are within the jurisdiction

of arbitration before Defendant JAMS, and Plaintiff contends that Defendant True

Classic Tees' claims are within the exclusive jurisdiction of the state or federal

courts in the State of California." (Complaint

¶ 38.) Plaintiff seeks an injunction enjoining

Defendant "from proceeding with and/or participating in the proposed arbitration

[JAMS Reference Number 5220011888] until this Court rules whether or not (A) Defendant

JAMS has jurisdiction over the parties' disputes, (B) the arbitration provision of the purchase orders applies to the disputes between the parties and (C) Defendant True Classic Tees' claims are within the exclusive jurisdiction of the state or federal courts in the State of California."

(Complaint ¶ 40.)

B. The Arbitration Agreement Does Not Apply
to the Claims in This Action.

"The language of a contract is to govern its interpretation, if the language is clear and explicit, and does not involve an absurdity." (Civ. Code, § 1638.) A contract must be read as a whole, "so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other." (Civ. Code, § 1641.)

There are two provisions at issue:

"8.1 Governing Law. This Agreement and all matters arising out of or relating to this Agreement shall be governed by the laws of the State of California, without regard to its conflict of law provisions. Any legal action or proceeding relating to this Agreement shall be brought exclusively in the state or federal courts located in the State of California. True Classic and Customer hereby agree to submit to the jurisdiction of, and agree that venue is proper in, those courts in any such legal action or proceeding."

"8.10 Agreement to Arbitrate. SUBJECT TO THE ABOVE PROVISIO, THE PARTIES HEREBY WAIVE ANY RIGHTS THEY MAY HAVE TO TRIAL BY JURY IN REGARD TO ARBITRABLE CLAIMS. THE PARTIES FURTHER WAIVE ANY RIGHTS THEY MAY HAVE TO PURSUE OR PARTICIPATE IN A CLASS OR COLLECTIVE ACTION PERTAINING TO ANY CLAIMS BETWEEN YOU AND THE COMPANY. This agreement to arbitrate does not restrict your right to file administrative claims you may bring before any government agency where, as a matter of law, the parties may not restrict the employee's ability to file such claims (including, but not limited to, the National Labor Relations Board, the Equal Employment Opportunity Commission and the Department of Labor). However, the parties agree that, to the fullest extent permitted by law, arbitration shall be the exclusive remedy for the subject matter of such administrative claims. The arbitration shall be conducted in Los Angeles, California through JAMS before a single neutral arbitrator, in accordance with the JAMS employment arbitration rules

then in effect.”

The Arbitration Agreement

specifies “administrative claims” that “include[e], but [are] not limited to, the National Labor Relations Board, the Equal Employment Opportunity Commission and the Department of Labor.” The parties agreed to arbitrate “the subject matter of such administrative claims” using the JAMS employment arbitration rules. This is a clear statement that the Arbitration Agreement applies to employment-based claims.

The Arbitration Agreement

is part of the purchase orders. “Any legal action or proceeding relating to this Agreement shall be brought exclusively in the state or federal courts located in the State of California.” Thus, contract-based claims are to be brought in court. “SUBJECT TO THE ABOVE PROVISIO,” the parties are to arbitrate “the subject matter of [employment] administrative claims.”

Plaintiff’s claims in this

action are not employment related. Plaintiff seeks declaratory and injunctive relief regarding the parties’ participation in a pending arbitration. That underlying arbitration relates to a contractual business dispute. Accordingly, Plaintiff’s claims are to be brought in court.

The motion to compel Plaintiff’s claims to arbitration is denied.

C. The Future of This Litigation is Unclear.

Plaintiff’s claims for declaratory

and injunctive relief will proceed in this court. Plaintiff seeks a ruling on whether Defendant’s claims in arbitration are within the exclusive jurisdiction of the state or federal courts in the State of California. (Complaint ¶¶ 38, 40.) The Court’s ruling on this motion essentially answers that question.

The Court urges the parties

to consider the future of this litigation and the most efficient way to resolve the disputes.

CONCLUSION

The
motion to compel arbitration is DENIED.

The
parties are ordered to appear at the hearing (remote appearances permitted) and
be prepared to discuss the next steps in this action.

Clerk
to give notice.

Dated this 1st day of September 2026

Hon. Thomas D. Long

Judge of the Superior
Court